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UNITED STATES DISTRICT COURT

EASTERN DISTRICT OF CALIFORNIA

FRESNO DIVISION

MORGAN BROTHERS, INCORPORATED, a California Corporation,
Plaintiff,
v.
RONALD D. MORGAN, INC., a California Corporation,
Defendant.

Case No.:

COMPLAINT FOR FEDERAL TRADEMARK INFRINGEMENT (15 U.S.C. § 1114), FALSE DESIGNATION OF ORIGIN AND FALSE ASSOCIATION (15 U.S.C. § 1125(a)(1)(A)), COMMON-LAW TRADEMARK INFRINGEMENT AND UNFAIR COMPETITION, UNFAIR COMPETITION (CAL. BUS. & PROF. CODE § 17200 ET SEQ.), BREACH OF CONTRACT; DECLARATORY JUDGMENT (28 U.S.C. §§ 2201–2202; 15 U.S.C. § 1119)

DEMAND FOR JURY TRIAL

COMES NOW Plaintiff Morgan Brothers, Incorporated ("MBI" or "Plaintiff") and for its Complaint against Defendant Ronald D. Morgan, Inc. ("RDM" or "Defendant") hereby allege as follows:

I. THE PARTIES

1. Plaintiff Morgan Brothers, Incorporated is a California corporation with its principal place of business at 2343 North Larkin Avenue, Fresno, California 93727. Plaintiff provides termite and pest-control services under the SAN JOAQUIN PEST CONTROL name and related marks.

2. Defendant Ronald D. Morgan, Inc. is a California corporation with its principal place of business in Visalia, Tulare County, California. RDM operates a pest-control business under the SAN JOAQUIN PEST CONTROL name.

II. JURISDICTION AND VENUE

3. Subject Matter Jurisdiction: This Court has original federal question jurisdiction over this action pursuant to 28 U.S.C. § 1331 and 1338(a) and 15 U.S.C. § 1121 because this action arises under the Lanham Act, including 15 U.S.C. §§ 1114 and 1125(a).

4. This Court has jurisdiction over the related unfair competition claims under 28 U.S.C. § 1338(b) and supplemental jurisdiction over the related state-law claims under 28 U.S.C. § 1367 in that the state law claims are integrally interrelated with Plaintiffs' federal claims and arise from a common nucleus of operative facts such that the administration of Plaintiffs' state law claims with their federal claims furthers the interest of judicial economy.

5. An actual and immediate controversy exists concerning the parties' ownership, use, registration, and territorial rights in state and federal trademark rights. Declaratory and further relief are available under 28 U.S.C. §§ 2201 and 2202. Because this action involves federally registered trademarks, the Court also has authority under 15 U.S.C. § 1119 to determine rights to registration and direct appropriate action concerning

the register.

6. Personal Jurisdiction: This Court has personal jurisdiction over Defendant RDM because it is incorporated and maintains its principal place of business in this District. RDM also purposefully conducts and advertises its pest-control business in Fresno County and surrounding communities, and the claims arise from those activities.

7. Venue: Venue is proper in the Eastern District of California pursuant to 28 U.S.C. § 1391(b)(1) and (2) because Defendant RDM resides in this District and a substantial part of the events and omissions giving rise to these claims occurred here.

8. Assignment to the Fresno Division is appropriate under Local Rule 120(d) because the operative conduct and parties' businesses are located in Fresno and Tulare Counties.

III. FACTUAL BACKGROUND

9. This action arises from Defendant RDM providing pest-control services in Fresno County under the SAN JOAQUIN PEST CONTROL service mark and related service marks, and other fictitious business names. This unauthorized use of the SAN JOAQUIN PEST CONTROL service mark and related service marks infringes Plaintiff MBI's trademark rights. Also, the provision of pest-control services by RDM in Fresno County violates a longstanding agreement between the parties, under which it was agreed that RDM would limit its pest-control business to areas south of Fresno County with license to use MBI's previously established service marks (including the SAN JOAQUIN PEST CONTROL service mark) subject to this geographic limitation. RDM has recently violated and continues to violate MBI's trademark rights as well as the agreement defining the Parties' respective territories for providing pest-control services.

10. Plaintiff MBI established use of the SAN JOAQUIN PEST CONTROL service mark for pest-control services at least as early as 1977, years before Defendant RDM's incorporation in January 1983. On information and belief, MBI and RDM entered an express oral agreement of indefinite term (the "Territorial Agreement") in 1984 under

which MBI would continue to provide pest control services in Fresno County, and in the areas north of Fresno County (the "MBI Territory") and RDM would provide pest control services south of Fresno County, including in Tulare and Kern Counties (the "RDM Territory"). As a further term of the Territorial Agreement, MBI licensed to RDM the use of MBI's previously established SAN JOAQUIN PEST CONTROL service mark and related marks within the RDM Territory. The parties also expressly agreed that neither would offer or provide competing pest-control services in the other's territory, whether under the name SAN JOAQUIN PEST CONTROL or under another business name.

11. For decades thereafter, the parties conducted their businesses under the restrictions of the Territorial Agreement. MBI respected RDM's allocated territory and permitted RDM to benefit from the established name and goodwill of the SAN JOAQUIN PEST CONTROL service mark, while continuing to develop its pest-control business in the MBI Territory. The parties' longstanding performance under the above terms confirmed the Territorial Agreement.

12. RDM has continued to enjoy the benefits of the territorial arrangement. However, RDM's recent expansion of its pest-control services into the MBI Territory has breached the Territorial Agreement and violated MBI's trademark rights. Those activities include (1) sponsored advertisements using the SAN JOAQUIN PEST CONTROL service mark to solicit customers in Fresno County, (2) promotion of RDM's pest-control services offered under the SAN JOAQUIN PEST CONTROL service mark and related marks through other businesses owned and controlled by RDM, and (3) operating competing pest-control businesses under other fictitious business names and service marks. RDM's use of other business names does not avoid its promise to refrain from competing in the MBI Territory, and its permission to use the SAN JOAQUIN PEST CONTROL service mark and related marks in the RDM Territory does not authorize solicitation of customers or provision of pest-control services under the those marks in the MBI Territory.

13. RDM's activities in MBI's territory threaten the customer relationships and goodwill MBI has developed over decades and deprive MBI of the territorial protection for which it bargained. Consumer confusion has already occurred as a result of RDM's unauthorized and infringing activities in the MBI Territory and is an ongoing problem. MBI seeks to protect its established trademark rights, enforce the parties' territorial commitments under the Territorial Agreement, and prevent further diversion of business and misattribution of RDM's services to MBI and any form of confusion between the parties.

A. MBI's business and trademark rights

14. Plaintiff MBI was incorporated in California on February 29, 1968, under the name Azene Leasing Corporation. Its corporate name was changed to Morgan Brothers, Incorporated in 1977. Exhibit A attached hereto and incorporated herein by this reference provides public corporate information for MBI dating back to 1977. MBI remained the same corporate entity following that name change and continued the business through which it established its rights in the SAN JOAQUIN PEST CONTROL service mark.

15. MBI established use of the SAN JOAQUIN PEST CONTROL service mark in connection with termite and pest-control services at least as early as 1977 in central California, including in Fresno, Tulare, and Kern Counties, well before RDM's incorporation in 1983. MBI's priority rests on its establishment and continuous use of the SAN JOAQUIN PEST CONTROL service mark in the pest-control business, predating RDM's formation by at least five years.

16. MBI also uses a distinctive running mouse graphic as a service mark and a composite logo combining that mouse graphic with the stylized wording SAN JOAQUIN PEST CONTROL. MBI established use of the mouse graphic in connection with its termite and pest-control services at least as early as 1979, before RDM's incorporation in January 1983. MBI also established the use of composite logos that combine the mouse

graphic and the SAN JOAQUIN PEST CONTROL word mark, which is currently used by MBI and includes the wording ESTABLISHED 1972. The SAN JOAQUIN PEST CONTROL word mark, the running mouse graphic, and the composite logo are referred to collectively herein as the "SJPC Marks."

17. By the time RDM was formed in 1983, MBI had already established the SJPC Marks as service marks for its pest-control business. Through its longstanding provision and promotion of termite and pest-control services prior to RDM, MBI developed substantial goodwill and public recognition of the SJPC Marks. The SAN JOAQUIN PEST CONTROL word mark has acquired distinctiveness in Central California through MBI's use and promotion of the mark and its business. MBI's customer relationships, reputation, and source-identifying goodwill existed before RDM came into existence.

18. MBI has carried forward the provision of quality pest-control services and the use and promotion of the SJPC Marks in the MBI Territory since the Territorial Agreement, and customers recognize the SJPC Marks as identifying MBI's business in the MBI Territory. RDM subsequently used the San Joaquin Pest Control name and SJPC Marks with MBI's permission in the RDM Territory under the Territorial Agreement.

19. MBI owns United States Trademark Registration No. 7,059,200 for SAN JOAQUIN PEST CONTROL in standard characters, issued on the Principal Register on May 23, 2023, from Application Serial No. 97/279,335, filed February 22, 2022. A copy of this registration is attached hereto as Exhibit B and incorporated herein by this reference.

20. MBI also owns United States Trademark Registration No. 7,059,202, issued on the Principal Register on May 23, 2023, from Application Serial No. 97/279,591, filed February 23, 2022. That registration covers the composite mark featuring the stylized wording SAN JOAQUIN PEST CONTROL, a running mouse design and the additional wording ESTABLISHED 1972. A copy of this registration is

attached hereto as Exhibit C and incorporated herein by this reference.

21. Both of Plaintiff's registrations identify the following services in International Class 037: "Termite and pest control services, other than for agriculture, aquaculture, horticulture and forestry." The two registrations are referred to collectively as the "Registrations."

22. Plaintiff's Registrations constitute prima facie evidence of validity, MBI's ownership, and its exclusive right to use the registered marks for the identified services of the SJPC Marks. MBI also holds common-law rights arising from its many decades of actual use of the SJPC Marks.

23. RDM has challenged MBI's trademark registrations in cancellation proceedings in the United States Patent and Trademark Office: Cancellation Proceeding Nos. 92084857 and 92084857. In the present action, MBI seeks to address MBI's trademark rights as well as the additional issues of trademark infringement, false designation of origin and false association, and breach of contract resulting from RDM's conduct in Fresno County.

B. The Business Separation and Territorial Agreement

24. RDM was incorporated in California on January 10, 1983, following the development of the MBI pest-control business in which Ronald Morgan and Calvin Morgan had participated. A copy of RDM's Articles of Incorporation, bearing the California Secretary of State's January 10, 1983 filing stamp and corporation number 1131466, is attached as Exhibit D and incorporated herein by this reference. The articles identify the corporation as RONALD D. MORGAN, INC. and submitted by Ronald D. Morgan as the organizer and initial agent for service of process. RDM was therefore formed nearly fifteen years after MBI's incorporation, at least five years after MBI's established use of SAN JOAQUIN PEST CONTROL as a service mark, and at least three years after MBI established use of the mouse logo.

25. In connection with Ronald Morgan's separation from MBI, RDM and MBI entered into an express oral agreement dividing their operations geographically and defining RDM's permission to use MBI's established SJPC Marks (the "Territorial Agreement"). On information and belief, the territorial division, the permission granted to RDM to use the SJPC Marks, and reciprocal restrictions on business operations in the respective MBI and RDM Territories were expressly agreed. The parties thereafter implemented and performed those agreed terms through their business conduct for decades.

26. Under the Territorial Agreement, MBI retained the San Joaquin Pest Control business in Fresno County and in the areas north of Fresno County (the "MBI Territory"). RDM conducted pest-control services south of Fresno County, including in Tulare and Kern Counties (the "RDM Territory"). The Fresno County's southern border was the agreed dividing boundary for their respective operations. RDM's right to operate under SJPC Marks in the RDM Territory arose from MBI's permission to use its previously established SJPC Marks in that designated territory.

27. The Territorial Agreement included an express reciprocal commitment that neither party would offer or provide competing pest-control services in the other party's territory, whether under the SJPC Marks or under any other business name. These promises of the Territorial Agreement allowed MBI and RDM to operate their businesses without concern that they would be impeded by competition between themselves.

28. The parties exchanged valuable consideration through their reciprocal territorial commitments and division of the pest-control business. MBI refrained from competing for business allocated to RDM and permitted RDM to use MBI's SJPC Marks within the RDM Territory. RDM accepted those benefits and promised to refrain from offering or providing competing pest-control services in the MBI Territory under any name. The parties' reciprocal commitments protected the value of the business each was to operate following their separation.

29. MBI and RDM, acting through their authorized owners and representatives, adopted and performed the Territorial Agreement as governing their corporate operations. To the extent the arrangement was initially agreed by the owners before RDM's incorporation, RDM adopted and assumed it by accepting the territorial arrangement and the licensed use of the SJPC Marks, and performing the corresponding territorial obligations after its incorporation. MBI likewise accepted and performed the arrangement through its continuing pest-control business operations.

30. The Parties undertook decades of performance in which the territorial restrictions were observed, demonstrating their mutual assent to the existence and terms of the Territorial Agreement. The Parties' course of conduct implemented and corroborates the express oral agreement. Also, the Parties' conduct independently manifests an implied-in-fact contract containing the corresponding territorial and permissive-use terms, including the reciprocal restriction on competing pest-control services under California Civil Code § 1621.

31. From approximately 2014 through 2020, the Parties jointly used a website that identified their respective offices and service areas. The Parties' cooperative use of the website also implemented their historical arrangement and promoted services through the offices responsible for the respective territories. The joint website did not amend the Territorial Agreement, did not confer on RDM any right to expand its pest-control business into the MBI Territory, did not authorize competition with MBI in the MBI Territory, and did not authorize expanded use of the SJPC Marks by RDM.

32. MBI retained ownership of the SJPC Marks and did not assign RDM any ownership interest in the SJPC Marks or authorize RDM to use the SJPC Marks in the MBI Territory. RDM's authorized use of the SJPC Marks under license from MBI has always inured to MBI's benefit, including with respect to MBI's trademark registrations to the extent provided under 15 U.S.C. § 1055. The license allowed RDM to provide pest-control services under the SJPC Marks in the RDM Territory. It did not authorize

RDM to exploit the SJPC Marks in the MBI Territory, and cooperative use of the SJPC Marks through the joint website did not expand the license beyond the agreed geographic limits.

33. MBI has not agreed to any changes to the Fresno County boundary, has not agreed to eliminate the restriction on pest-control operations under other business names, and has not authorized RDM's expansion of its pest control services into the MBI Territory. No modification or termination of the Territorial Agreement has released RDM from any of its obligations thereunder. RDM's advertising and pest-control service activities in the MBI Territory exceed its territorial permission under the Territorial Agreement and its provision of services in the MBI Territory under the SJPC Marks constitute trademark infringement, false designation of origin, and false association.

C. RDM's Sponsored Advertisements in the MBI Territory

34. On information and belief, RDM has purchased, authorized, or caused sponsored internet advertisements using the SAN JOAQUIN PEST CONTROL service mark to solicit customers in the City of Fresno and elsewhere in the MBI Territory. A copy of a Google search-results screenshot taken in August 2026 showing a sponsored advertisement for RDM's website, www.sanjoaquinpestcontrolinc.com, with the displayed search location "McLane, Fresno, CA," is attached hereto as Exhibit E and incorporated herein by this reference. The advertisement offers the same category of pest-control services that MBI provides under its SAN JOAQUIN PEST CONTROL mark in the MBI Territory.

35. The sponsored advertisement prominently displays SAN JOAQUIN PEST CONTROL and directs viewers to RDM's website. In the Fresno search context, use of the identical name for identical services is highly likely to cause consumers to mistake RDM's advertised services for those of MBI or to believe that RDM's services are authorized by or affiliated with MBI in the MBI Territory. RDM's advertising activity and any consequent provision of pest-control services constitute trademark infringement,

false designation of origin, and false association.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff pray for judgment in their favor and against Defendant, as follows:

1. Preliminary and permanent injunctive relief, pursuant to Federal Rule of Civil Procedure 65, 15 U.S.C. § 1116, and applicable California law, binding RDM and those persons identified in Rule 65(d)(2) who receive actual notice, against using SJPC Marks or confusingly similar designations to advertise, solicit, offer, or provide the challenged pest-control services in the MBI Territory, as determined by the Court.
2. Appropriate injunctive enforcement of the Territorial Agreement against offering or providing competing pest-control services in MBI's territory through Pestman, The Experienced Gardener, or any other business name or mark, including through indirect referral arrangements, to the extent the Court determines that restriction is valid, binding, and applicable.
3. Corrective relief within RDM's control, including cessation or revision of infringing advertisements and referral promotions, appropriate geographic controls on the challenged advertising, and appropriate disclosures or corrections necessary to prevent confusion, with the measures and territory specified in the Court's order.
4. An accounting and recovery of RDM's profits attributable to violations of the Lanham Act, subject to the principles of equity and without duplicate recovery.
5. MBI's actual damages for infringement and unfair competition and compensatory damages for breach of contract and the implied covenant of good faith and fair dealing, in amounts established at trial, together

with any adjustment authorized by 15 U.S.C. § 1117(a), without duplicate recovery.

6. Restitution of monetary gains obtained by RDM through its unlawful business practices pursuant to Cal. Bus. & Prof. Code § 17203.

7. A declaration of the parties' respective ownership, registration, licensing, and territorial rights as requested in the Count 8 above, including the validity and ownership of the SJPC Marks and the Registrations, and the enforceability, scope, and geographic boundaries of the Territorial Agreement.

8. Punitive damages solely on Counts 6 and 7 if the requirements of California Civil Code § 3294 are established.

9. Reasonable attorneys' fees if this action is found exceptional under 15 U.S.C. § 1117(a).

10. For an award of costs of suit incurred by Plaintiff, including but not limited to filing fees, service fees, witness fees, and the costs of discovery and investigation, as permitted by law.

11. For an award of pre-judgment interest and post-judgment interest at the maximum rate allowed by law on all applicable amounts, from the due date of each such amount until paid in full, to compensate Plaintiffs for the loss of use of monies due and owing.

12. For such other and further relief as the Court deems just and proper, including but not limited to any equitable relief (such as constructive trust or other measures) necessary to achieve fairness and to deprive Defendant of the benefits of their wrongful conduct.

Dated: September 22, 2026

SIERRA IP LAW, PC
A Professional Corporation

By: /s/ William K. Nelson
William K. Nelson

Attorneys for Plaintiff

JURY DEMAND

Pursuant to Rule 38 of the Federal Rules of Civil Procedure and the Seventh Amendment to the Constitution of the United States, Plaintiff hereby demand a trial by jury on all issues so triable.

Dated: September 22, 2026

SIERRA IP LAW, PC
A Professional Corporation

By: /s/ William K. Nelson
William K. Nelson
Attorneys for Plaintiff